MGT301 Principles of Marketing

Theme 9 [Topic # 108-118]

Topic #108

Price and Pricing

What is price?

Price is the amount of money charged for a product or service. It is the sum of all the values that consumers give up in order to gain the benefits of having or using a product or service.

Price is the only element in the marketing mix that produces revenue; all other elements represent costs.

Topic #109

What is Pricing?

The process of determining and setting price of a product.

What to consider for Pricing?

- ✓ Price Ceiling
- ✓ Price Floor



Topic #110

Factors Affecting Pricing

- ✓ Overall Marketing Strategy
- ✓ Type of Demand
- ✓ Type of Market

Topic #111

- ✓ Economic Conditions
- ✓ Government
- ✓ Social Concerns

Topic #112

What are different pricing methods?

Major Pricing Methods

- ✓ Value Based Pricing
- ✓ Cost Based Pricing
- ✓ Competition Based Pricing

Topic #113

Value Based Pricing

uses the buyers' perceptions of value, not the sellers' cost, as the key to pricing. Price is considered before the marketing program is set.

Cost Based Pricing

sets prices based on the costs for producing, distributing, and selling the product plus a fair rate of return for effort and risk.



Competition Based Pricing

is setting prices based on competitors' strategies, costs, prices, and market offerings.

Topic #114

Special Pricing Concepts

- ✓ Good-value Pricing
- ✓ Everyday low Pricing
- ✓ High-low Pricing

Topic #115

What are different pricing strategies?

Pricing Strategies

- ✓ New-Product Pricing Strategies
- ✓ Product Mix Pricing Strategies
- ✓ Price Adjustment Strategies
- ✓ Price Changes

New-Product Pricing Strategies

- ✓ Market-skimming pricing
- ✓ Market- penetration pricing

Market-skimming pricing

strategy sets high initial prices to "skim" revenue layers from the market.

- ✓ Product quality and image must support the price.
- ✓ Buyers must want the product at the price.

Market- penetration pricing

involves setting a low price for a new product in order to attract a large number of buyers and a large market share.

Topic #116

Product Mix Pricing Strategies

- ✓ Product line pricing
- ✓ Optional- product pricing
- ✓ Captive- product pricing
- ✓ By-product pricing
- ✓ Product bundle pricing

Product Line Pricing

takes into account the cost differences between products in the line, customer evaluation of their features, and competitors' prices.

Optional-product pricing

takes into account optional or accessory products along with the main product.

Captive-product pricing

sets prices of products that must be used along with the main product.

By-product pricing

refers to products with little or no value produced as a result of the main product. Producers will seek little or no profit other than the cost to cover storage and delivery.

Product bundle pricing

combines several products at a reduced price.

Topic #117

Price Adjustment Strategies

- ✓ Discount and allowance pricing
- ✓ Segmented pricing
- ✓ Psychological pricing
- ✓ Promotional pricing
- ✓ Geographic pricing
- ✓ Dynamic pricing
- ✓ International pricing

Topic #118

Price Changes

- ✓ **Price cuts**
  - Excess capacity
  - Increased market share
- ✓ **Price increases**
  - Cost inflation
  - Increased demand
  - Lack of supply

